

HOUSE BILL 1703

By Bricken

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 5; Title 6; Title 7; Title 13; Title 47; Title 48;
Title 61 and Title 66, relative to ownership of
residential rental property by business entities.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 66, Chapter 2, is amended by adding
the following as a new part:

66-2-401. As used in this part:

(1) "Institutional buyer" means, whether domestic or foreign, a corporation,
limited liability company, limited liability partnership, or limited partnership that purchases
or acquires for consideration residential rental property in this state; and

(2) "Residential rental property" means real property on which is located one (1)
or more dwelling units leased or otherwise rented to tenants solely for residential
purposes.

66-2-402.

The purpose of this part is to assist the state and local governments in monitoring
and enforcing compliance with health, safety, and housing standards by requiring
business entities organized in this state and each foreign business entity with authority
to transact business in this state to register with the state rental properties they own and
lease.

66-2-403.

On or after January 1, 2027, an institutional buyer shall register its purchase or
acquisition of residential rental property in this state with the secretary of state.

66-2-404.

Registration pursuant to § 66-2-403 must be made:

- (1) In such form and manner as prescribed by the secretary of state; and
- (2) Within the later of sixty (60) days after:
 - (A) January 1, 2027; or
 - (B) The date the institutional buyer purchases or acquires the residential rental property.

66-2-405.

The secretary of state shall require that registration pursuant to this part includes:

- (1) The name of the institutional buyer;
- (2) The physical address of each residential rental property owned by the institutional buyer;
- (3) The street address and zip code of the institutional buyer's registered office and the name of its registered agent at that office in this state;
- (4) The name, street address, including the zip code, mailing address such as a post office box if the United States postal service does not deliver to the street address, and contact information, including a telephone number and electronic mail address, of at least one (1) natural person who has management responsibility for the residential rental property; and
- (5) The number of rental units within the residential rental property.

66-2-406.

If the secretary of state finds that an institutional buyer violates this part by failing to timely register as required under this part, then the secretary of state shall assess a civil penalty not to exceed two thousand dollars (\$2,000) for each violation.

66-2-407.

A registration filed under this part is a public record for purposes of title 10, chapter 7. The secretary of state shall make the information reported on a registration pursuant to § 66-2-405 available for viewing by the public on a website or database in a format that is searchable.

SECTION 2. The secretary of state is authorized to promulgate rules to effectuate this act. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

SECTION 3. For the purpose of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect January 1, 2027, the public welfare requiring it.